ate assets.

For instance, it is nearly impossible to buy a house these days without a loan. The upside of taking a home loan, especially if you plan to move into it immediately, is that it saves you from the rent you pay. You also own the asset, which over time has the potential to appreciate in value. If you account for the tax savings you can claim on repayment of a home loan, the overall benefits of borrowing to buy a house are immense. Likewise, a loan taken for one's education or for that of a spouse or child from recognised institutions is another loan that builds assets.

Like the home loan, an education loan too comes with tax benefits on its repayment. An additional advantage is that it can help you gain knowledge which may result in increasing your earnings potential. This is a way to increase your income later in life for self and for a family member to boost the family income. Any other loan such as one to buy a car or any other electronic or white goods will cost you more when you buy it on a loan. However, if it is essential or helps you save on time or is a convenience to the family, go for it since the payoff may be better than the cost of the loan.

↘ INVESTMENTS, RETIREMENT, TAXES

Wealth creation and dedicated retirement savings are necessary for financial independence. Eventually, once you retire—at whatever age—the money left with you should be enough to make you financially independent, for which you need to plan. The way to build wealth is by investing your savings. There are several instruments out there in which you could invest and save money. An easy way out is saving in financial instruments that are well regulated, market-linked and also indicate the risks involved when investing.

That said, all financial products and investment choices have their own advantages. The trick is in aligning the investment you choose with your goals and the risks you can take while investing. For instance, investing in equities through mutual funds or ETFs (exchange traded funds) is a smart way to go for wealth creation. Investments in these instruments are flexible—you can invest as per

IF YOU SET UNREALISTIC FINANCIAL GOALS, YOU ARE LIKELY TO GET FRUSTRATED AT NOT BEING ABLE TO ACHIEVE THE RIGHT RESULTS. THIS MAY KNOCK YOU OFF THE PLANNED PATH

CAN YOU REALLY AFFORD EARLY FINANCIAL INDEPENDENCE?

A decade into the workforce, many people start thinking of an early retirement. But even though many do succeed in their work life, the number of people who retire early are very few. While the Financial Independence Retire Early (FIRE) movement is a noble thought, it comes with several strings attached and one has to be really lucky to achieve it. FIRE as a concept comes from the book *Your Money or Your Life* by Joe Dominguez and Vicki Robin. The whole premise is driven by numbers and looks very little at life situations.

The idea is to adopt a method of living below your means to obtain financial independence and security as early as possible. To live frugally and furiously sounds simple, but it is difficult to implement—it has to become a way of life. Young Indians who dream of early retirement at, say, at 40-45, forget a fundamental fact—increased longevity (we live much longer now thanks to improved healthcare and quality of life).

For FIRE to happen, one has to realise several financial goals in life, including a retirement plan in a 20-25-year work life (see *Typical Stages in Life*). Most often, one retires at 60, the retirement age for most Indians in the work force. Now, if the lifespan of an adult today is 80, it means that after achieving all financial goals before retirement, one also has to live off one's savings and investments for at least another two decades.

There is a belief that one would need 70-80 per cent of pre-retirement household expenses when one retires. This may not necessarily hold good, especially when one includes rising healthcare costs and several other emerging financial uncertainties. So, when someone thinks of retiring at 40-45, they are actually ignoring the possibility of funding their retirement alone for the next four decades. Moreover, assumed inflation, interest rates, return on investments and cost of living are all factors that could drastically impact savings even if they change by a few percentage points. A savings-only strategy may only account for circumstances that exists today, but unexpected events, such as a family illness, death or divorce, can take a hefty financial toll.

As it is, many well-to-do retired Indians are grappling with their retirement owing to their dependence on fixed return savings, which have been dipping with reducing interest rates. Many are staring at old-age poverty and forcibly cutting expenses to just survive or have sought financial support from children and siblings. As much as one would wish to have early financial independence, the reality points towards working as long as possible to create regular financial inflows so that one can work on creating additional passive income sources.